



CHEYENNE

FRONTIER DAYS™

"Daddy of 'em All"®

Approved as to
form only

D. White
Date: *Feb. 6, 2013*

February 4, 2013

COPY

Mayor Rick Kaysen
City Council Members
City of Cheyenne
2101 O'Neil Avenue
Cheyenne, WY 82001

Dear Mayor and City Council Members:

Each year Cheyenne Frontier Days relies heavily on our sponsors/partners to help produce the "Daddy of 'em All." For 29 years CFD had a partnership with a malt beverage company; 26 years with Coors Brewing Company and three years with Anheuser Busch. During that time the food, soda, and malt beverages, were contracted out to an independent concessionaire who was the malt beverage licensee. In 2008, Cheyenne Frontier Days made the decision to bring the malt beverage sales in house, therefore making us the malt beverage licensee.

At that time state and federal law stated, a not for profit organization that holds a fund raising event(s) and holds a 24 hour malt beverage permit is prohibited from receiving sponsorship in the form of money, product or other items of value. Therefore, the Wyoming Liquor Division determined that a not for profit organization seeking malt beverage sponsorship for an event was in violation of the state and federal tied house laws.

In 2009, Wyoming State Statute § 12-5-402 (copy attached) was amended to allow a licensing authority (i.e. City Council) to approve malt beverage industry representatives to furnish, give or lend money or other things of value to a (malt beverage) licensee to support annual community events if certain requirements were met. That portion of the statute now reads:

"With prior approval of the applicable licensing authority, malt beverage industry representatives may furnish, give or lend money or other things of value to a licensee to support annual community events open to the public if the licensee:

- (i) Is a nonprofit corporation organized under the laws of this state;
- (ii) Is qualified as a tax exempt organization under the Internal Revenue Code; and
- (iii) Has been in continuous operation for a period of not less than two (2) years."

Therefore, pursuant to the amended statute, Cheyenne Frontier Days is requesting the approval of the Cheyenne City Council for a three (3) year Gold Boot Sponsor relationship between Cheyenne Frontier Days and Miller/Coors. The request for approval is specific only to the annual community event known as

HEADQUARTERS
P.O. Box 2477
Cheyenne, WY 82003

(307) 778-7201
Fax (307) 778-7213

Last Full Week in July
www.cfdrodeo.com • info@cfdrodeo.com

BOX OFFICE
P.O. Box 2477
Cheyenne, WY 82003

(307) 778-7222
or 1-800-227-6336
Fax (307) 778-7229

Cheyenne Frontier Days, which is open to the public, and would apply to the following specific time frames involving application to the Cheyenne City Clerk for malt beverage licenses:

July 17 - 28, 2013

July 16 - 27, 2014

July 15 - 26, 2015

Our mission at Cheyenne Frontier Days is to: support the community; promote western heritage, encourage economic success and provide educational opportunities.

Along with the financial support of our sponsorships we bring:

- \$25 million dollars in direct economic impact spent by visitors at Cheyenne Frontier Days to Cheyenne.
- Supports over 300 full time and part time jobs, \$4.5 million in wage earnings (wage and salary disbursements, \$460,000 in local taxes and 566,000 in state revenue) to Cheyenne.
- Total economic impacts, resulting from direct visitor spending, which include secondary impacts (also known as multiplier effects), resulted in approximately \$32 million of business activity generated for Laramie County

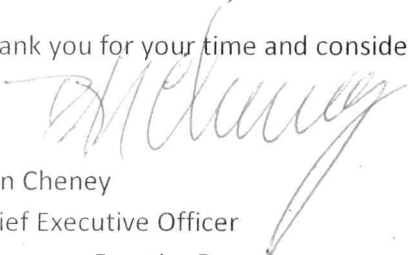
Cheyenne Frontier Days takes malt beverage sales very seriously and works diligently with the Cheyenne Police Department on the enforcement of underage drinking laws and alcohol server training. In 2012 Cheyenne Frontier Days was recognized by the Mayor, City Council and the Chief of Police for our efforts in these areas by awarding CFD the Cheyenne Police Chiefs Award for responsibility in alcohol management.

With the approval of the request for a three year Gold Boot Sponsorship between Cheyenne Frontier Days and Miller/Coors, we can continue to build on our mission; serve the citizens of Cheyenne and continue to bring over \$25 million into the City of Cheyenne.

For your reference the following documents are included:

- Internal Revenue Service 501c (6) status letter
- Wyoming Statute 12-5-402

Thank you for your time and consideration on this matter.



Dan Cheney
Chief Executive Officer
Cheyenne Frontier Days, Inc.

Cc: Carol, Intelkofer, City Clerk
Dan White, City Attorney

INTERNAL REVENUE SERVICE
DISTRICT DIRECTOR
1100 COMMERCE STREET
DALLAS, TX 75242-0000

DEPARTMENT OF THE TREASURY

Date: **DEC 02 1991**

CHEYENNE FRONTIER DAYS INC
P O BOX 2477
CHEYENNE, WY 82003

Employer Identification Number:
83-0297781

Contact Person:
SHARI FLOWERS

Contact Telephone Number:
(214) 767-3526

Internal Revenue Code
Section 501(c)(6)

Accounting Period Ending:
September 30

Form 990 Required:
Yes

Addendum Applies:
No

Dear Applicant:

Based on information supplied, and assuming your operations will be as stated in your application for recognition of exemption, we have determined you are exempt from Federal income tax under section 501(a) of the Internal Revenue Code as an organization described in the section indicated above.

Unless specifically excepted, you are liable for taxes under the Federal Insurance Contributions Act (social security taxes) for each employee to whom you pay \$100 or more during a calendar year. And, unless excepted, you are also liable for tax under the Federal Unemployment Tax Act for each employee to whom you pay \$50 or more during a calendar quarter if, during the current or preceding calendar year, you had one or more employees at any time in each of 20 calendar weeks or you paid wages of \$1,500 or more in any calendar quarter. If you have any questions about excise, employment, or other Federal taxes, please address them to this office.

If your sources of support, or your purposes, character, or method of operation change, please let us know so we can consider the effect of the change on your exempt status. In the case of an amendment to your organizational document or bylaws, please send us a copy of the amended document or bylaws. Also, you should inform us of all changes in your name or address.

In the heading of this letter we have indicated whether you must file Form 990, Return of Organization Exempt From Income Tax. If Yes is indicated, you are required to file Form 990 only if your gross receipts each year are normally more than \$25,000. However, if you receive a Form 990 package in the mail, please file the return even if you do not exceed the gross receipts test. If you are not required to file, simply attach the label provided, check the box in the heading to indicate that your annual gross receipts are normally \$25,000 or less, and sign the return.

If a return is required, it must be filed by the 15th day of the fifth month after the end of your annual accounting period. A penalty of \$10 a day is charged when a return is filed late, unless there is reasonable cause for

Letter 948(DO/CG)

CHEYENNE FRONTIER DAYS INC

the delay. However, the maximum penalty charged cannot exceed \$5,000 or 5 percent of your gross receipts for the year, whichever is less. This penalty may also be charged if a return is not complete, so please be sure your return is complete before you file it.

You are not required to file Federal income tax returns unless you are subject to the tax on unrelated business income under section 511 of the Code. If you are subject to this tax, you must file an income tax return on Form 990-T, Exempt Organization Business Income Tax Return. In this letter we are not determining whether any of your present or proposed activities are unrelated trade or business as defined in section 513 of the Code.

You need an employer identification number even if you have no employees. If an employer identification number was not entered on your application, a number will be assigned to you and you will be advised of it. Please use that number on all returns you file and in all correspondence with the Internal Revenue Service.

If we have indicated in the heading of this letter that an addendum applies, the enclosed addendum is an integral part of this letter.

Because this letter could help resolve any questions about your exempt status, you should keep it in your permanent records.

If you have any questions, please contact the person whose name and telephone number are shown in the heading of this letter.

Sincerely yours,

A handwritten signature in dark ink, appearing to read "Gary O. Booth". The signature is fluid and cursive, with the first name "Gary" being the most prominent.

Gary O. Booth
District Director

Wyo. Stat.

ARTICLE 4 - INDUSTRY REPRESENTATIVES

12-5-401. Interests in licenses or permits to sell.

No industry representative shall hold any interest, stock or ownership directly or indirectly, in any license to sell products of the industry at retail under privileges of a license or permit to sell any beverage or liquor in Wyoming or in any premises so licensed. This section shall not apply to any person holding a microbrewery or winery permit pursuant to W.S. 12-4-412.

12-5-402. Furnishing of money and products; payment in full for malt beverages; credit for alcoholic liquor; credit deficiencies.

(a) Except as otherwise authorized in this section or W.S. 12-5-403, industry representatives shall not furnish, give or lend money or other things of value, directly or indirectly, to any person engaged in selling products of the industry at retail under privileges of a license or permit to sell any beverage or liquor in Wyoming. The prohibition shall extend to the giving to any person for the use, benefit or relief of the person engaged in selling the industry's products and to prohibit guaranty by the industry of a loan or other financial obligation of persons engaged at retail in selling these products. With prior approval of the applicable licensing authority, malt beverage industry representatives may furnish, give or lend money or other things of value to a licensee to support annual community events open to the public if the licensee:

- (i) Is a nonprofit corporation organized under the laws of this state;
- (ii) Is qualified as a tax exempt organization under the Internal Revenue Code; and
- (iii) Has been in continuous operation for a period of not less than two (2) years.

(b) No sale or delivery of malt beverages shall be made by a wholesaler to any licensee except for payment in full made at the time of or prior to delivery, and a licensee shall not accept or receive delivery of malt beverages except when payment is made at or prior to delivery.

(c) The commission may grant credit to retailers when purchasing alcoholic liquor for a period not to exceed four (4) days from date of shipment. Payments by mail for credit shipments shall be postmarked within twenty-four (24) hours of the receipt of the shipment by the retailer. The commission may seize and sell all stocks of liquor of the retailer to satisfy any credit balance. Any deficiency constitutes a lien on any proceeds received through transfer of the license or permit. If a retailer defaults in payment for a shipment under this section, no further shipments shall be made to him for a period of one (1) year except on a C.O.D. basis.